

Europe vs China

EV Tariffs, De-Risking, and the Structural Dependency Europe Cannot Quickly Escape

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Executive Summary

Europe's relationship with China has reached what senior EU officials now describe as an "inflection point" — a moment demanding strategic clarity after decades of deepening commercial integration. The post-pandemic era has crystallised a structural contradiction at the heart of EU-China relations: European economies remain significantly exposed to Chinese markets and supply chains, yet the political conditions that once underwrote that engagement — stable rules, reciprocity, and geopolitical neutrality — have eroded. The EU has responded not with decoupling, which Commission President Ursula von der Leyen explicitly rejected as "neither viable — nor in Europe's interest," but with a doctrine of de-risking: selectively reducing dependency in sectors deemed critical to economic security while maintaining commercial engagement elsewhere. That doctrine is now under severe stress. China's refusal to distance itself from Russia, its assertive trade posture, and its accelerating push for semiconductor self-sufficiency are forcing European capitals to revisit the assumptions behind the de-risking consensus. The trajectory points toward a relationship that is simultaneously more institutionally managed and more strategically adversarial than at any point since China joined the WTO.

1. The De-Risking Doctrine: Origins, Adoption, and Internal Tensions

1. The term "de-risking" entered the strategic mainstream in early 2023 when von der Leyen delivered a landmark speech on EU-China relations, explicitly distinguishing de-risking from decoupling and calling for restrictions on trade in highly sensitive technologies. The framing was adopted almost immediately at the G7 summit in May 2023, where member governments — including France, Germany, and Italy — united behind language of economic diversification over full disengagement CNA[2023-05-22]. The softened terminology reflected a real constraint: the complexities of drastically disengaging from the world's second-largest economy made hard decoupling politically and economically untenable for the major European export nations.

2. The intellectual case for de-risking rests on a body of precedent demonstrating that economic interdependence with Beijing carries coercive risk. The G7 nations cited South Korean conglomerate Lotte's forced exit from China following a 2017 diplomatic dispute, as well as Beijing's trade sanctions on Australian exports — amounting to A\$20 billion per year — imposed after Canberra called for a COVID-19 origins investigation CNA[2023-05-22]. These episodes established a clear pattern: commercial access to the Chinese market is conditionally granted and can be weaponised as political leverage.

3. China's response to the de-risking framing was immediate and pointed. Foreign Minister Qin Gang warned in May 2023 that if the EU sought to "decouple from China in the name of de-risking, it will

decouple from opportunities, cooperation, stability and development" CNA[2023-06-22]. That framing — casting de-risking as self-harm rather than prudence — has remained Beijing's consistent counter-narrative. It has found some purchase in European business communities heavily exposed to Chinese revenues, creating an internal EU tension between strategic security ministries pushing for tighter controls and commercial ministries resisting measures that threaten market access.

4. The G7's adoption of de-risking language marked a significant multilateral alignment: European leaders no longer stood alone in articulating the doctrine. The US pursued what its own officials variably described as "de-risking" or "decoupling" depending on the official being quoted, and explicitly began demanding that trading partners replicate its China posture as a condition of bilateral trade deals CNA[2025-07-04]. This external pressure from Washington, overlaid on internal EU deliberation, has made the de-risking agenda simultaneously more durable and more politically contested within European capitals.

2. Diplomatic Architecture: Summits, Dialogues, and Structural Deadlock

5. The EU-China diplomatic framework has remained formally active while delivering diminishing substantive returns. The EU-China High-level Strategic Dialogue held in Brussels ahead of the 2026 summit produced no breakthroughs, instead "reaffirming existing positions and setting parameters for managing disagreements" CNA[2026-01-30]. This pattern — institutionalised dialogue as a mechanism for containing rather than resolving friction — has characterised the relationship for several years. Both sides stressed the need to manage disagreements, but the structural drivers of those disagreements — trade imbalances, China's support for Russia, and divergent positions on economic security — have not been addressed.

6. The July 2025 EU-China summit in Beijing laid bare the underlying frictions with unusual candour. Von der Leyen stated that relations had reached an "inflection point" and needed "real solutions," while both sides acknowledged they stood at "a critical juncture in history" requiring "the right strategic choices" to advance international stability CNA[2025-07-25]. The summit produced limited deliverables beyond climate language — a recurring pattern in EU-China engagements that deliver diplomatic vocabulary without corresponding commitments on the substantive issues of market access, trade imbalances, and the Ukraine conflict.

7. The China-Russia relationship remains the single largest structural obstacle to any EU-China reset. While Beijing officially denies aiding Russia's military-industrial base, the EU has continued to press China on the issue, and Chinese trade with Russia has expanded at double-digit rates following Western sanctions CNA[2023-04-06]. EU leaders warned explicitly during the 2026 round of engagement that ties were at an "inflection point" over trade imbalances and China's links with Moscow CNA[2026-01-30]. So long as China's "no-limits partnership" with Russia continues generating visible economic benefit for Beijing, the political basis for a deeper EU-China rapprochement does not exist.

8. The suspension of the EU-China Comprehensive Agreement on Investment (CAI) — which entered a review process after China issued counter-sanctions against EU parliamentarians in response to Xinjiang-related sanctions — exemplifies the structural vulnerability of the bilateral framework. The EU sanctioned China over Xinjiang for the first time in 32 years in 2021, and China's retaliatory response torpedoed a ratification process that had taken seven years of negotiation CNA[2021-03-31]. That episode established that Beijing will not decouple political retaliation from commercial agreements, a lesson that has materially shaped subsequent EU negotiating posture.

3. Western Hedging and European Strategic Autonomy

9. The January 2026 visit of British Prime Minister Keir Starmer to China illustrated a broader European strategic dilemma. Analysts characterised Beijing's reception of the visit as part of "a broader European picture of more frequent and more pragmatic engagement," testing whether key European capitals have room to rebalance without choosing sides CNA[2026-01-30]. The episode underscored the tension between EU collective positions and individual member-state bilateral diplomacy: while Brussels maintains a de-risking framework, individual governments pursue market access through direct engagement — a gap that Beijing has consistently exploited to fracture EU unity.

10. European strategic autonomy — the capacity to pursue an independent foreign policy outside the US-China binary — has emerged as the aspirational frame for EU China policy, but the operational content remains thin. The scope for a deeper reset in China-Europe relations is "tightly constrained, with trade frictions, Ukraine and security concerns continuing to set a low ceiling" on what engagement can achieve CNA[2026-01-30]. The trajectory of the Trump-era US trade posture, which demanded trading partners replicate its decoupling stance, narrows the space available to European capitals for independent China strategy without triggering secondary friction with Washington.

11. Italy's earlier engagement with the Belt and Road Initiative — reflected in the 2019 discussions around the port of Trieste as a Chinese logistics platform for Central and South Europe and North Africa — illustrates the gravitational pull of BRI infrastructure investment on EU member states with weaker fiscal positions. At the time, concerns over "predatory financing" modelled on Beijing's acquisition of a majority stake in Sri Lanka's Hambantota port after Colombo defaulted on debt were already present CNA[2019-03-03]. Italy has since withdrawn from the BRI, but the underlying dynamic — Chinese infrastructure capital targeting strategically significant European logistics nodes — persists across smaller EU member states, particularly in southern and eastern Europe.

4. Semiconductor Sovereignty and the Technology Decoupling Frontier

12. Technology supply chains, and semiconductors specifically, represent the most advanced front of the EU-China de-risking project. A US government supply chain review established the structural vulnerability at stake: chip manufacturing lead times run up to 26 weeks even under normal conditions, production volumes must be confirmed six months in advance, and switching a production line from one chip type to another takes months [RAG: SCI_TECH_RAG — US OSTP 100-Day Semiconductor Supply Chain Review, 2021]. These lead times create strategic exposure — a disruption in supply from Chinese-controlled inputs or a blockade of Taiwan Strait transit would cascade through European automotive, defence, and consumer electronics sectors before alternative supply could be activated.

13. The global semiconductor value chain is characterised by extreme geographic concentration at each production stage. The design, fabrication, and advanced test and packaging (ATP) steps are dominated by a small number of firms in the US, Taiwan, the Netherlands (ASML), South Korea, and Japan. China is aggressively investing to close capability gaps: a CSET analysis highlighted China's growing efforts to build a self-sufficient semiconductor industry amid tightening US export restrictions, referencing CSET's Chokepoints report and the 35 critical technology gaps identified by China's state-run Science and Technology Daily [RAG: SCI_TECH_RAG — CSET Georgetown, China Chipmakers Analysis, April 2025]. As China narrows those gaps, the EU's ability to restrict Chinese semiconductor access through export controls erodes over time, creating a closing window for technology policy.

14. The US government's 100-day supply chain review recommended strengthening engagement with allies and partners to promote fair semiconductor allocations and increased production investment, and advancing effective semiconductor frameworks [RAG: SCI_TECH_RAG — US OSTP 100-Day Semiconductor Supply Chain Review, 2021]. The EU Chips Act responded to this framework by attempting to bring European foundry capacity to 20% of global production by 2030. However, the

structural economics are daunting: pure-play foundries require enormous ongoing capital investment to maintain state-of-the-art production nodes, and economies of scale favour incumbents in Taiwan and South Korea [RAG: SCI_TECH_RAG — US OSTP 100-Day Semiconductor Supply Chain Review, 2021]. European semiconductor sovereignty, while a declared policy goal, faces a 10-to-15-year timeline before meaningful independent capacity exists.

Outlook

The EU-China relationship is entering a prolonged period of managed strategic competition — neither the open engagement of the 2010s nor the clear-cut decoupling that Washington has at times demanded of its partners. The de-risking doctrine will hold as the operative EU framework, but its implementation will be uneven: tighter in semiconductors, critical minerals, and dual-use technology; looser in consumer goods, financial services, and sectors where European corporate revenue exposure to China is highest.

Three variables will determine whether the trajectory steepens toward confrontation or stabilises into durable managed tension. First, whether China materially shifts its posture on Russia — assessed as unlikely given the economic benefits Beijing derives from the relationship. Second, whether individual EU member states, particularly those with BRI infrastructure exposure and weaker fiscal positions, hold the collective Brussels line under Chinese pressure — historically a point of vulnerability. Third, whether European semiconductor and clean-energy industrial policy delivers sufficient domestic capacity to reduce strategic exposure before China's own technology catch-up renders export controls ineffective.

The window for Europe to act from a position of relative technological advantage is real but narrowing. The 2025–2026 diplomatic record — summits producing declarations without deliverables, dialogues reaffirming positions without changing them — suggests the institutional architecture is at capacity. The next phase of EU-China relations will be shaped less by high diplomacy and more by investment screening decisions, technology export rulings, and the gradual reorientation of European corporate supply chains away from single-point Chinese dependencies. The outcome will define Europe's strategic autonomy, or its absence, for the remainder of the decade.

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